

Marketing functions such as transportation, storage, financing and dissemination of market information, have a great bearing on the type of market structure. Recent policy encourages group marketing or operation of producer groups and this is likely to reduce the number of buyers and/or sellers actually taking part in marketing functions. Government policies with regard to purchases, sales and subsidies affect the performance of market functions. The market structure should keep on adjusting to the changes in costs and government policy. Number of players in the market must be in accordance with the marketing functions performed and size of operations to take advantage of size economy.

(iv) Technological Change in Industry

Technological changes necessitate changes in the market structure through adjustments in the scale of business, the number of firms, and in their financial requirements. Establishment of retail chains and entry of MNCs in the food retailing effected conspicuous change in the structure of vegetable markets in India

Agricultural Marketing and Economic Development

Orderly and efficient marketing of food grains plays an important role in solving the problem of hunger. Most of those who go hungry do so because they can not pay higher prices for food grains. If marketing system is not efficient, price signals arising at the consumers' level are not adequately transferred to the producers, as a result farmers do not get sufficient price incentive to increase the production of the commodities which are in short supply. Thus, an inefficient marketing system adversely affects the living standards of both the farmers and consumers. In agricultural-oriented developing countries like India, agricultural marketing plays a pivotal role in fostering and sustaining the tempo of rural and economic development. Markets trigger the process of development.

The development of an efficient marketing system is important in ensuring that scarce and essential commodities reach different classes of consumers. Marketing is not only an economic link between the producers and the consumers but it also helps to maintain a balance between demand and supply. The objectives of price stability, rapid economic growth and equitable distribution of goods and services cannot be achieved without the support of an efficient marketing system.

Marketing Functions and their Classification

The marketing functions may be classified in various ways. For example, Thomsen has classified the marketing functions into three broad groups. These are:

Agricultural Marketing Trade and Prices

(i)	Primary Functions	Assembling or Procurement Processing Dispersion or Distribution
(ii)	Secondary Functions	Packing or Packaging Transportation Grading, Standardization and Quality Control Storage and Warehousing Determination or Discovery of Prices Risk Taking Financing Buying and Selling Demand Creation Dissemination of Market Information
(iii)	Tertiary Functions	Banking Insurance Communications – Posts & Telecommunication Supply of Energy – Electricity

Kohls and Uhl have classified marketing functions as follows:

(i)	Physical Functions	Storage and Warehousing Grading Processing Transportation
(ii)	Exchange Functions	Buying Selling
(iii)	Facilitative Functions	Standardization of Grades Financing Risk Taking Dissemination of Market Information

Converse, Huegy and Mitchell have classified marketing functions in a different way. According to them, the classification is as follows:

(i)	Physical Movement Functions	Storage Packing Transportation
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		Grading Distribution
(ii)	Ownership Movement Functions	Determining Need Creating Demand Finding Buyers and Sellers Negotiation of Price Rendering Advice Transferring the Title to Goods
(iii)	Market Management Functions	Formulating Policies Financing Providing Organization Supervision Accounting Securing Information

Marketing Agencies

In the marketing of agricultural commodities, the following agencies are involved:

(i) Producers

Most farmers or producers, perform one or more marketing functions. They sell the surplus either in the village or in the market. Some farmers, especially the large ones, assemble the produce of small farmers, transport it to the nearby market, sell it there and make a profit. This activity helps these farmers to supplement their incomes. Frequent visits to markets and constant touch with market functionaries, bring home to them a fair knowledge of market practices. They have, thus, an access to market information, and are able to perform the functions of market middlemen,

(ii) Middlemen

Middlemen are those individuals or business concerns which specialize in performing the various marketing functions and rendering such services as are involved in the marketing of goods. They do this at different stages in the marketing process. The middlemen in foodgrain marketing may, therefore, be classified as follows:

(a) Merchant Middlemen

Merchant middlemen are those individuals who take title to the goods they handle. They buy and sell on their own and gain or lose, depending on the difference in

the sale and purchase prices. They may, moreover, suffer loss with a fall in the price of the product. Merchant middlemen are of following types:

Wholesalers: Wholesalers are those merchant middlemen who buy and sell foodgrains in large quantities. They may buy either directly from farmers or from other wholesalers. They sell foodgrains either in the same market or in other markets. They sell to retailers, other wholesalers and processors. They do not sell significant quantities to ultimate consumers. They own godowns for the storage of the produce.

The wholesalers perform the following functions in marketing:

- (a) They assemble the goods from various localities and areas to meet the demands of buyers;
- (b) They sort out the goods in different lots according to their quality and prepare them for the market;
- (c) They equalize the flow of goods by storing them in the peak arrival season and releasing them in the off-season;
- (d) They regulate the flow of goods by trading with buyers and sellers in various markets;
- (e) They finance the farmers so that the latter may meet their requirements of production inputs; and
- (f) They assess the demand of prospective buyers and processors from time to time, and plan the movement of the goods over space and time.

Retailers: Retailers buy goods from wholesalers and sell them to the consumers in small quantities. They are producers' personal representatives to consumers. Retailers are the closest to consumers in the marketing channel.

Itinerant Traders and Village Merchants: Itinerant traders are petty merchants who move from village to village, and directly purchase the produce from the cultivators. They transport it to the nearby primary or secondary market and sell it there. Village merchants have their small establishments in villages. They purchase the produce of those farmers who have either taken finance from them or those who are not able to go to the market. Village merchants also supply essential consumption goods to the farmers. They act as financiers of poor farmers. They often visit nearby markets and keep in touch with the prevailing prices. They either sell the collected produce in the nearby market or retain it for sale at a later date in the village itself.

Mashakhores: This is a local term used for big retailers or small wholesalers dealing in fruits and vegetables. Earlier, the mashakhores used to deal only in one or

two vegetables, purchasing from the commission agents or wholesalers in substantial quantities usually three to four quintals of vegetables like potato, onion, carrot, okra, tomato and spinach. They usually sell to the bulk consumers like hotelwalas, paramilitary units or small retailers/vendors in lots of around 5 kg to 10 kg each. However, in recent years, mashakhores have started retailing to all types of customers without the condition of a minimum quantity. In other words, the mashakhores are now working more like ordinary retailers.

(b) Agent Middlemen

Agent Middlemen act as representatives of their clients. They do not take title to the produce and, therefore, do not own it. They merely negotiate the purchase and/or sale. They sell services to their principals and not the goods or commodities. They receive income in the form of commission or brokerage. They serve as buyers or sellers in effective bargaining. Agent middlemen are of two types:

Commission Agents or Arhatias: A commission agent is a person operating in the wholesale market who acts as the representative of either a seller or a buyer. He is usually granted broad powers by those who consign goods or who order the purchase. A commission agent normally takes over the physical handling of the produce, arranges for its sale, collects the price from the buyer, deducts his expenses and commission, and remits the balance to the seller. All these facilities are extended to buyer-firms as well, if asked for.

Commission agents or arhatias in unregulated markets are of two types, *Kaccha arhatias* and *Pacca arhatias*: *Kaccha arhatias* primarily act for the sellers, including farmers. They sometimes provide advance money to farmers and itinerant traders on the condition that the produce will be disposed of through them. *Kaccha arhatias* charge *arhat* or commission in addition to the normal rate of interest on the money they advance. A *Pacca arhatia* acts on behalf of the traders in the consuming market. The processors (rice millers, oil millers and cotton or jute dealers) and big wholesalers in the consuming markets employ *Pacca arhatias* as their agents for the purchase of a specified quantity of goods within a given price range.

In regulated markets, only one category of commission agent exists under the name of 'A' class trader. The commission agent keeps an establishment – a shop, a godown and a rest house for his clients. He is, therefore, preferred by the farmers to the co-operative marketing society for the purpose of the sale of the farmer's produce. Commission agents extend the following facilities to their clients:

- (i) They advance 40 to 50 per cent of the expected value of the crop as a loan to farmers to enable them to meet their production expenses;
- (ii) They act as bankers of the farmers. They retain the sale proceeds, and pay to the farmers as and when the latter require the money;
- (iii) They offer advice to farmers for purchase of inputs and sale of products;
- (iv) They provide empty bags to enable the farmers to bring their produce to the market;
- (v) They provide food and accommodation to the farmers and their animals when the latter come to the market for the sale of their produce;
- (vi) They provide storage facility and advance loans against the stored product up to 75 per cent of the value;
- (vii) They arrange, if required by the farmer, for the transportation of the produce from the village to the market; and
- (viii) They help the farmers in times of personal difficulties.

Brokers: Brokers render personal services to their clients in the market; but, unlike the commission agents, they do not have physical control of the product. The main function of a broker is to bring together buyers and sellers on the same platform for negotiations. Their charge is called brokerage. They may claim brokerage from the buyer, the seller or both, depending on the market situation and the service rendered. They render valuable service to the prospective buyers and sellers, for they have complete knowledge of the market – of the quantity available and the prevailing prices.

Brokers have no establishment in the market. They simply wander about in the market and render services to clients. There is no risk to them. They do not render any other service except to bring the buyers and sellers on the same platform. In most regulated markets, brokers do not play any role because goods are sold by open auction. Their number in foodgrain marketing trade is decreasing. But they still play a valuable role in the marketing of other agricultural commodities, such as gur, sugar, edible oil, cotton seed and chillies.

(c) Speculative Middlemen

Those middlemen who take title to the product with a view to making a profit on it are called speculative middlemen. They are not regular buyers or sellers of produce. They specialize in risk-taking. They buy at low prices when arrivals are substantial and sell in the off-season when prices are high. They do the minimum handling of goods. They make profit from short-run as well as long-run price fluctuations.

(d) Processors

Processors carry on their business either on their own or on custom basis. Some processors employ agents to buy for them in the producing areas, store the produce and process it throughout the year on continuous basis. They also engage in advertising activity to create a demand for their processed products.

(e) Facilitative Middlemen

Some middlemen do not buy and sell directly but assist in the marketing process. Marketing can take place even if they are not active. But the efficiency of the system increases when they engage in business. These middlemen receive their income in the form of fees or service charges from those who use their services. The important facilitative middlemen are:

Hamals or Labourers: They physically move the goods in marketplace. They do unloading from the loading on to bullock carts or trucks. They assist in weighing the bags. They perform cleaning, sieving, and refilling jobs and stitch the bags. Hamals are the hub of the marketing wheel. Without their active co-operation, the marketing system would not function smoothly.

Weighmen: They facilitate the correct weightment of the produce. They use a pan balance when quantity is small. Generally, the scalebeam balance is used. They get payment for their service through the commission agent. The weighbridge system of weighing also exists in big markets.

Graders: These middlemen sort out the product into different grades, based on some defined characteristics, and arrange them for sale. They facilitate the process of prices settlement between the buyer and the seller.

Transport Agency: This agency assists in the movement of the produce from one market to another. The main transport means are the railways and trucks. Bullock carts or camel carts or tractor-trolleys are also used in villages for the transportation of foodgrains.

Communication Agency: It helps in the communication of the information about the prices prevailing, and quantity available, in the market. Sometimes, the transactions take place on the telephone. The post and telegraph, telephone, newspapers, the radio and informal links are the main communication channels in agricultural marketing.

Advertising Agency: It enables prospective buyers to know the quality of the product and decide about the purchase of commodities. Newspapers, the radio, television and cinema slides are the main media for advertisements.

Auctioners: They help in exchange function by putting the produce for auction and bidding by the buyers.

Marketing Institutions

Marketing institutions are business organizations which have come up to operate the marketing machinery. In addition to individuals, corporate, co-operative and government institutions are operating in the field of agricultural marketing.

They perform one or more of the Marketing functions. They assume the role of one or more marketing agencies, described earlier in this section. Some important institutions in the field of agricultural marketing are:

(a) Public Sector Institutions

- (i) Directorate of Marketing and Inspection (DMI)
- (ii) Commission for Agricultural Costs and Prices (CACP)
- (iii) Food Corporation of India (FCI)
- (iv) Cotton Corporation of India (CCI)
- (v) Jute Corporation of India (JCI)
- (vi) Specialized Commodity Boards
 - Rubber Board
 - Tea Board
 - Coffee Board
 - Spices Board
 - Coconut Board
 - Oilseeds and Vegetable Oils Board
 - Tobacco Board
 - Cardamom Board
 - Arecanut Board
 - Coir Board
 - Silk Board
 - National Horticulture Board (NHB)
 - National Dairy Development Board (NDDB)

(vii) Others

- Central Warehousing Corporation (CWC)
- State Warehousing Corporations (SWCs)
- State Trading Corporation (STC)
- Agricultural and Processed Food Export Development Authority (APEDA)
- Export Inspection Council
- Marine Products Export Development Authority (MPEDA)
- Silk Export Promotion Council (SEPC)
- The Cashewnuts Export Promotion Council of India (CEPCI)
- Agricultural Produce Market Committees (APMC)
- State Agricultural Marketing Boards (SAMB)
- Council of State Agricultural Marketing Boards (COSAMB)
- State Directorates of Agricultural Marketing
- Research Institutions and Agricultural Universities

(b) Cooperative Sector Institutions

- (i) National Cooperative Development Corporation (NCDC)
- (ii) National Agricultural Cooperative Marketing Federation (NAFED)
- (iii) National Cooperative Tobacco Growers Federation (NTGF)
- (iv) National Consumers Cooperative Federation (NCCF)
- (v) Tribal Cooperative Marketing Federation (TRIFED)
- (vi) Special Commodity Cooperative Marketing Organizations (Sugarcane, Cotton, Milk)
- (vii) State Cooperative Marketing Federations.
- (viii) Primary Agricultural Cooperative Marketing Societies

PRODUCER'S SURPLUS

Producer's Surplus of Agricultural Commodities

In any developing economy, the producer's surplus of agricultural product plays a significant role. This is the quantity which is actually made available to the non-producing population of the country. From the marketing point of view, this surplus is more important than the total production of commodities. The arrangements for marketing and the expansion of markets have to be made only for the surplus quantity available with the farmers, and not for the total production. This is because, only a portion of the total

production is sold in the market after personal consumption by the members of farm household and retention in the farm for several reasons.

The rate at which agricultural production expands determines the pace of agricultural development, while the growth in the marketable surplus determines the pace of economic development. An increase in production must be accompanied by an increase in the marketable surplus for the economic development of the country. Though the marketing system is more concerned with the surplus which enters or is likely to enter the market, the quantum of total production is essential for this surplus. The larger the production of a commodity, the greater will be the surplus of that commodity and vice versa. The knowledge of marketed and marketable surplus helps the policy-makers as well as the traders in the following areas:

i. Framing Sound Price Policies: Price support programmes are an integral part of agricultural policies s necessary for stimulating agricultural production. The knowledge of quantum of marketable surplus helps in framing these policies.

ii. Developing Proper Procurement and Purchase Strategies: The procurement policy for feeding the public distribution system has to take into account the quantum and behaviour of marketable and marketed surplus. Similarly, the traders, processors and exporters have to decide their purchase strategies on the basis of marketed quantity

iii. Checking Undue Price Fluctuations: A knowledge of the magnitude and extent of the surplus helps in the minimization of price fluctuations in agricultural commodities because it enables the government and the traders to make proper arrangements for the movement of product from one area, where they are in surplus, to another area which is deficient.

iv Export/Import policies: Advance estimates of the surpluses of such commodities which have the potential of external trade are useful in decisions related to the export and import of the commodity. If surplus is expected to be less than what is necessary, the country can plan for imports and if surplus is expected to be more than what is necessary, avenues for exporting such a surplus can be explored.

v. Development of Transport and Storage Systems: The knowledge of marketed surplus helps in developing adequate capacity of transport and storage system to handle it.

Meaning and Types of Producer's Surplus

The producer's surplus is the quantity of produce which is, or can be, made available by the farmers to the non-farm population. The producer's surplus is of two types:

1. Marketable Surplus

The marketable surplus is that quantity of the produce which can be made available to the non-farm population of the country. It is a theoretical concept of surplus. The marketable surplus is the residual left with the producer-farmer after meeting his requirements for family consumption, farm needs for seeds and feed for cattle, payment to labour in kind, payment to artisans – carpenter, blacksmith, potter and mechanic – payment to landlord as rent, and social and religious payments in kind. This may be expressed as follows:

$$MS = P - C$$

Where

MS = Marketable surplus

P = Total production, and

C = Total requirements (family consumption, farm needs, payment to labour, artisans, landlord and payments for social and religious work).

2. Marketed Surplus

Marketed surplus is that quantity of the produce which the producer-farmer actually sells in the market, irrespective of his requirements for family consumption, farm needs and other payments. The marketed surplus may be more, less or equal to the marketable surplus.

Whether the marketed surplus increases with the increase in production has been under continual theoretical scrutiny. It has been argued that poor and subsistence farmers sell that part of the produce which is necessary to enable them to meet their cash obligations. This results in distress sale on some farms. In such a situation, any increase in the production of marginal and small farms should first result in increased on-farm consumption.

An increase in the real income of farmers also has a positive effect on on-farm consumption because of positive income elasticity. Since the contribution of this group to the total marketed quantity is not substantial, the overall effect of increase in production must lead to an increase in the marketed surplus.

Bansil writes that there is only one term – marketable surplus. This may be defined subjectively or objectively. Subjectively, the term marketable surplus refers to

theoretical surplus available for sale with the producer-farmer after he has met his own genuine consumption requirements and the requirements of his family, the payment of wages in kind, his feed and seed requirements, and his social and religious payments. Objectively, the marketable surplus is the total quantity of arrivals in the market out of the new crop.

Relationship between marketed surplus and marketable surplus

The marketed surplus may be more, less or equal to the marketable surplus, depending upon the condition of the farmer and type of the crop. The relationship between the two terms may be stated as follows:

$$\text{Marketed surplus} \begin{matrix} > \\ \leq \\ = \end{matrix} \text{Marketable surplus}$$

1. The marketed surplus is more than the marketable surplus when the farmer retains a smaller quantity of the crop than his actual requirements for family and farm needs. This is true especially for small and marginal farmers, whose need for cash is more pressing and immediate. This situation of selling more than the marketable surplus is termed as distress or forced sale. Such farmers generally buy the produce from the market in a later period to meet their family and/or farm requirements. The quantity of distress sale increases with the fall in the price of the product. A lower price means that a larger quantity will be sold to meet some fixed cash requirements.
2. The marketed surplus is less than the marketable surplus when the farmer retains some of the surplus produce. This situation holds true under the following conditions:
 - (a) Large farmers generally sell less than the marketable surplus because of their better retention capacity. They retain extra produce in the hope that they would get a higher price in the later period. Sometimes, farmers retain the produce even up to the next production season.
 - (b) Farmers may substitute one crop for another crop either for family consumption purpose or for feeding their livestock because of the variation in prices. With the fall in the price of the crop relative to a competing crop, the farmers may consume more of the first and less of the second crop.
3. The marketed surplus may be equal to the marketable surplus when the farmer neither retains more nor less than his requirement. This holds true for perishable commodities and of the average farmer.

Factors Affecting Marketable Surplus

The marketable surplus differs from region to region and, within the same region, from crop to crop. It also varies from farm to farm. On a particular farm, the quantity of marketable surplus depends on the following factors:

- (i) **Size of Holding:** There is positive relationship between the size of the holding and the marketable surplus.
- (ii) **Production:** The higher the production on a farm, the larger will be the marketable surplus, and vice versa.
- (iii) **Price of the Commodity:** The price of the commodity and the marketable surplus have a positive as well as a negative relationship, depending upon whether one considers the short and long run or the micro and macro levels.
- (iv) **Size of Family:** The larger the number of members in a family, the smaller the surplus on the farm.
- (v) **Requirement of Seed and Feed:** The higher the requirement for these uses, the smaller the marketable surplus of the crop.
- (vi) **Nature of Commodity:** The marketable surplus of non-food crops is generally higher than that for food crops. For example, in the case of cotton, jute and rubber, the quantity retained for family consumption is either negligible or very small part of the total output. For these crops, a very large proportion of total output is marketable surplus. Even among food crops, for such commodities like sugarcane, spices and oilseeds which require some processing before final consumption, the marketable surplus as a proportion of total output is larger than that for other food crops.
- (vii) **Consumption Habits:** The quantity of output retained by the farm family depends on the consumption habits. For example, in Punjab, rice forms a relatively small proportion of total cereals consumed by farm-families compared to those in southern or eastern states. Therefore, out of a given output of paddy/rice, Punjab farmers sell a greater proportion of paddy/rice, Punjab farmers sell a greater proportion than that sold by rice eating farmers of other states.

The functional relationship between the marketed surplus of a crop and factors affecting the marketed surplus may be expressed as:

$$M = f(x_1, x_2, x_3, x_4)$$

where

M	=	Total marketed surplus of a crop in quintals
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X ₁	=	Size of holding in hectares
X ₂	=	Size of family in adult units
X ₃	=	Total production of the crop in quintals
X ₄	=	Price of the crop

Relationship between prices and marketable surplus

Two main hypotheses have been advanced to explain the relationship between prices and the marketable surplus of foodgrains.

Inverse Relationship

There is an inverse relationship between prices and the marketable surplus. This hypothesis was presented by P N. Mathur and M. Ezekiel. They postulate that the farmers' cash requirements are nearly fixed, and given the price level, the marketed portion of the output is determined. This implies that the farmers' consumption is a residual, and that the marketed surplus is inversely proportional to the price level. This behaviour assumes that farmers have inelastic cash requirements.

The argument is that, in the poor economy of underdeveloped countries, farmers sell that quantity of the output which gives them the amount of money they need to satisfy their cash requirements; they retain the balance of output for their own consumption purpose. With a rise in the prices of foodgrains, they sell a smaller quantity of foodgrains to get the cash they need, and vice versa. In other words, with a rise in the prices of foodgrains, they sell a smaller quantity of foodgrains to get the cash they need, and vice versa. In other words, with a rise in price, farmers sell a smaller, and with the fall in price, they sell a larger quantity. Olson and Krishnan have argued that the marketed surplus varies inversely with the market price. They contend that a higher price for a subsistence crop may increase the producer's real income sufficiently to ensure that the income effect on demand for the consumption of the crop outweighs the price effect on production and consumption.

Positive Relationship

V.M.Dandekar and Rajkrishna put forward the case for a positive relationship between prices and the marketed surplus of food grains in India. This relationship is based on the assumption that farmers are price conscious. With a rise in the prices of food grains, farmers are tempted to sell more and retain less. As a result, there is increased surplus. The converse, too, holds true.

Model Quiz

1. Market conduct includes

- a. Market sharing and price setting policies
- b. Policies aimed at coercing rivals
- c. Policies toward setting the quality of products
- d. Efficiency in the use of resources

Ans: b.

2. Knowledge of marketable surplus helps the

- a. farming population
- b. non farm population
- c. both a and b
- d. neither a nor b.

Ans: c

3. Marketable surplus will be more in the case of

- a. rice
- b. jowar
- c. cotton
- d. gram

Ans: c

4. Marketable surplus will be less in the case of

- a. rice
- b. cotton
- c. sugarcane
- d. tomato

Ans: a

5. All the following have positive relationship with marketable surplus except

- a. size of family
- b. size of holding
- c. quantity of production
- d. a and b

Ans: a.

6. Commodity price and marketed surplus would have negative relationship in the case of

- a. rice
- b. cotton
- c. sugarcane
- d. jute.

7. Primary function of marketing includes

- a. Procurement
- b. transport
- c. storage
- d. banking

Ans: a.

8. Secondary function of marketing includes

- a. Assembling
- b. grading
- c. insurance
- d. banking

Ans: b.

9. Tertiary function of marketing includes

- a. Assembling
- b. transport
- c. storage
- d. insurance

Ans: d

10. Physical function of marketing includes

- a. Grading
- b. buying
- c. selling
- d. financing

Ans: a.

11. Exchange function of marketing includes

- a. Processing
- b. transport
- c. selling
- d. standardization

Ans: c.

12. Facilitative function of marketing refers to

- a. Processing
- b. grading
- c. buying
- d. financing

Ans: d.

13. Physical movement function of marketing refers to

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- a. Storage b. Creating demand c. financing d. None of these Ans : d.
14. Ownership movement function of marketing refers to
a. Packaging b. distribution c. negotiation of price d. supervision Ans: c.
15. Market management function of marketing refers to
a. Distribution b. rendering advice c. determining need d. financing Ans: c.
16. Wholesalers perform the following functions except
a. Assembling b. sorting c. advancing loans d. none of these Ans: d.
17. Commission agents earn their income as
a. Profit b. per cent of sales value c. per cent of quantity sold d. service charge Ans: b.
18. Brokers differ from commission agents by
a. Not owning the commodity b. providing financial assistance to farmers c. g services they offer d. earning profit. Ans: c.
19. Risk taking is a function of
a. Agent middlemen b. merchant middlemen c. speculator d. facilitative middlemen Ans: c.
20. Pick the odd man out from the following
a. FCI b. CWC c. NAFED d. Spices board Ans: c.

TRUE or FALSE

1. Growth in producers' surplus determines the pace of economic development. (True)
2. Minimising the price fluctuations in agricultural commodities requires knowledge on marketable surplus. (True)
3. Export – import policies of a country is designed based on the marketable surplus expected in the country. (True)
4. Higher the rice price in the market, more will be the supply of paddy to the market by the farmers. (False)
5. Agent middlemen do not take title to the produce. (True)
6. Brokers do not take title to the produce. (True)
7. Processors play a dominant role in agricultural marketing in developed countries. (True)
8. Commission agents are important for better performance of Rythu bazaars in India. (False)

CHAPTER 3
MARKETING CHANNELS, MARKETING COST, MARKETING EFFICIENCY
AND MARKET INTEGRATION

Marketing Channel

In this chapter, we discuss marketing agencies, marketing institutions and marketing channels through which farm products move from producers to consumers. A very small proportion of farm produce moves directly from farmers to consumers. Most of the farm products move to consumers through several agencies/institutions and channels. The role played by marketing agencies and institutions in the marketing system is quite indispensable as these perform important marketing functions. They also help in expanding the markets for farm products and add value to the products.

The production of a produce is complete only when it reaches the hands of those who need it – the consumers. All the commodities cannot be produced in all the areas because of variations in agro-climatic conditions. Hence, there is a need for their movement from producers to consumers.

There are two main routes through which agricultural commodities reach the consumers:

(i) Direct Route: Sometimes, agricultural commodities directly pass from producers to consumers. There is a complete absence of middlemen or intermediaries. But it is only a very small proportion of the agricultural commodities which moves directly from producers to consumers.

(ii) Indirect Route: Agricultural commodities generally move from producers to consumers through intermediaries or middlemen. The number of intermediaries may vary from one to many. In the modern era of specialized production, both the horizontal and vertical distance between the producer and the consumer has increased, resulting in a reduction of direct sales. The role of market middlemen has increased in the recent past because a substantial part of the produce moves through them.

The role, functions and other details of some of these institutions have been discussed in relevant chapters.

Marketing Channels

Marketing channels are routes through which agricultural products move from producers to consumers. The length of the channel varies from commodity to commodity, depending on the quantity to be moved, the form of consumer demand and degree of regional specialization in production.

Definition

A marketing channel may be defined in different ways according to Moore *et al.*, the chain of intermediaries through whom the various foodgrains pass from producers to consumers constitutes their marketing channels. Kohls and Uhl have defined marketing channel as alternative routes of product flows from producers to consumers.

Factors Affecting Length of Marketing Channels

Marketing channels for agricultural products vary from product to product, country to country, lot to lot and time to time. For example, the marketing channels for fruits are different from those for foodgrains. Packagers play a crucial role in the marketing of fruits. The level of the development of a society or country determines the final form in which consumers demand the product. For example, consumers in developed countries demand more processed foods in a packed form. Wheat has to be supplied in the form of bread. Most enables have to be cooked and packed properly before they reach the consumers. Processors play a dominant role in such societies. In developing countries like India, However, most foodgrains are purchased by consumers in the raw form and processing is done at the consumer's level. Again, the lots originating at small farms follow different route or channels from the one originating in large farms. For example, small farms usually sell their produce to village traders; it may or may not enter the main market. But large farms usually sell their produce in the main market, where it goes into the hands of wholesalers. The produce sold immediately after the harvest usually follows longer channel than the one sold in later months.

With the expansion in transportation and communication network, changes in the structure of demand and the development of markets, marketing channels for farm products in India have undergone a considerable change, both in terms of length and quality.

Marketing Channels for Cereals

Marketing channels for various cereals in India are more or less similar, except the channel for paddy (or rice) where rice millers come into the picture. For pulse crops, *dal* mills appear prominently in the channel. The flow chart in Fig.5.1 enables us to know the marketing channels for general food grains in India.

Some common marketing channels for wheat have been identified as follows:

- (i) Farmer —————> consumers;
- (ii) Farmer —————> retailer or village trader —————> consumer;
- (iii) Farmer —————> wholesaler —————> retailer —————> consumer;

- (iv) Farmer → village trader → wholesaler → retailer → consumer;
- (v) Farmer → co-operative marketing society → retailer → consumer;
- (vi) Farmer → Govt. agency (FCI, etc.) → fair price shop → consumer;
- (vii) Farmer → wholesaler → flour miller → retailer → consumer.

The channels for paddy-rice and pulses are broadly the same, except that the rice millers or *dal* millers come into the picture before the produce reaches retailers or consumers.

Marketing Channels for Oilseeds

Marketing channels for oilseeds are different from those for foodgrains, mainly because the extraction of oil from oilseeds is an important marketing function of oilseeds. The flow chart in Fig.5.2 reveals the movement of oilseeds from producers to consumers in India.

The most common marketing channels for oilseeds in India are:

- (i) Producer to consumer (who either directly consumes the oilseeds or gets it processed on custom basis);
- (ii) Producer to village trader to processor to oil retailer to consumer;
- (iii) Producer to oilseed wholesaler to processor to oil wholesaler to oil retailer to oil consumer;
- (iv) Producer to village trader to processor to oil consumer;
- (v) Producer to government agency to processor to oil wholesaler to oil retailer to oil consumer.

Marketing Channels for Fruits and Vegetables

Marketing channels for fruits and vegetables vary from commodity to commodity and from producer to producer. In rural areas and small towns, many producers perform the function of retail sellers. Large producers directly sell their produce to the wholesalers or processing firms. Some of the common marketing channels for vegetables and fruits are:

- (i) Producer → consumer;
- (ii) Producer → primary wholesalers → retailers or hawkers → consumer;
- (iii) Producer → processors (for conversion into juices, preserves, etc.);
- (iv) Producers → primary wholesalers → processors;
- (v) Producers → primary wholesalers → secondary wholesalers → retailers or hawkers → consumers;
- (vi) Producers → local assemblers → primary wholesalers →

retailers or hawkers → consumers.

An important feature of marketing channels for fruits and vegetables is that these commodities just move to some selected large cities/centres and subsequently are distributed to urban population and other medium size urban market centres. The wholesale markets of these urban centres work as transit points and thus play an important role in the entire marketing channel for fruits and vegetables. Large wholesale markets for fruits and vegetables are concentrated in 10 major cities viz., Delhi, Kolkata, Bangalore, Chennai, Mumbai, Jaipur, Nagpur, Vijayavada, Lucknow and Varanasi. These cities account for 75 per cent of vegetables marketed in major urban areas in India. Further, the transit trade takes place through the cities with more than 20 lakh population which account for 68 per cent of the fruits and vegetables grown in the respective regions. There are 65 urban wholesale markets for fruits and 81 for vegetables. Each market, on an average, serves a population of about 7 lakhs.

Marketing Channels for Eggs

The prevalent marketing channels for eggs are:

- (i) Producer → consumer;
- (ii) Producer → retailer → consumer;
- (iii) Producer → wholesaler → retailer → consumer;
- (iv) Producer → co-operative marketing society → wholesalers
→ Retailers → consumers;
- (v) Producers → egg powder factory.

Sometimes, the wholesaling and retailing functions are performed by a single firm in the channel.

Marketing Channels for Pulses

Most of the studies on the identification of marketing channels for agricultural commodities have concentrated on a concept of marketing channel which defines the flow of the produce from the producer (farmer) to the consumer. But as the commercialization (market orientation) of agriculture is increasing and as the farmers and consumers are located in different states or different countries, the marketing channels that are emerging go across state or even national boundaries. This apart, unless quantities flowing into various channels are estimated, the relative importance of alternative channels cannot be assessed. Such an analysis was done by Acharya for gram grains in Rajasthan. According to this study, there are three points of entry of gram grain in the marketing channel, viz., farmer level, wholesaler level (from outside the

state) and processor level (also from outside the state). There are 28 marketing channels, village traders appear in 8 channels, grain wholesalers appear in 18 channels, processors appear in 15 channels, dal (split) wholesalers appear in 5 channels and retailers appear in 15 channels. Assuming the farmers' surplus entering the marketing channel as 100 units, the entry from outside the state at wholesaler and processor level was 4.24 per cent of the farmers surplus. The percentage quantities moving in 28 channels are given in Table 3.1.

Table 3.1

Quantity of Marketed Surplus of Gram moving in Various Marketing Channels

Channel No.	Agencies involved							Quantity (%)
1.	F	-	-	-	-	-	C	0.17
2.	F	-	-	-	-	R	C	0.76
3.	F	V	-	-	-	-	C	0.91
4.	F	V	-	-	-	R	C	0.17
5.	F	V	W	-	-	R	C	0.65
6.	F	V	W	-	-	-	G	0.13
7.	F	V	W	P	-	R	C	0.02
8.	F	V	W	P	S	R	C	0.70
9.	F	V	W	P	-	-	O	1.68
10.	F	V	W	-	-	-	O	3.30
11.	F	V	W	-	-	R	C	8.80
12.	F	-	W	-	-	-	H	1.76
13.	F	-	W	P	-	R	C	0.32
14.	F	-	W	P	S	R	C	9.44
15.	F	-	W	P	-	-	O	22.80
16.	F	-	W	-	-	-	O	44.88
17.	F	-	-	P	-	R	C	0.04
18.	F	-	-	P	S	R	C	1.02
19.	F	-	-	P	-	-	O	2.45
	Sub Total							100.00
20.	O	-	-	P	-	-	O	1.45
21.	O	-	-	P	-	-	C	0.02
22.	O	-	-	P	S	R	C	0.60

Agricultural Marketing Trade and Prices

	Sub Total							2.07
23.	O	-	W	-	-	R	C	0.22
24.	O	-	W	-	-	-	G	0.04
25.	O	-	W	-	-	-	O	1.11
26.	O	-	W	P	-	-	O	0.56
27	O	-	W	P	S	R	C	0.23
28.	O	-	W	P	-	R	C	0.01
	Sub Total							2.17
	Grand Total							104.24

F = Farmer, C = Consumer, R = Retailer, V = Village Trader,
W = Wholesaler, G = Government Agency, P = Processor,
S = Dal Wholesaler O = Outside Rajasthan

Source: Acharya, S.S., Agricultural Production, Marketing and Price Policy in India,
Mittal Publication, New Delhi, 1998, pp.308-12.

Innovative Marketing Channels (Direct Marketing)

It has been realized that the marketing channel for farm products which are highly perishable (fruits, vegetables and flowers) should be as short as possible. Perishable farm produce should move quickly from farmers to consumers. If farmers directly sell their produce to the consumers, it will not only save losses but also increase farmer's share in the price paid by the consumers. Therefore, direct marketing by the farmers is being encouraged as an alternative channel. Some examples of these channels are given below:

(i) Apni Mandi / Kisan Mandi

An innovative concept of 'Apni Mandi' has been introduced in some states. Apni Mandi is also called 'Kisan Mandi', as it is different from the traditional mandi or market yard, where the produce moves to the buyer through either a commission agent or trader. In Apni Mandi there is a direct contact between the farmer producer and the buyer who is generally the consumer. This system does away with the middlemen. In Apni Mandi, farmers sell their produce directly to the consumers without involvement of the middlemen. The price spread in Apni Mandi is considerable low. These are working satisfactorily in the case of fruits and vegetables. These, 'Apni Mandi' are similar to the Saturday markets of United Kingdom and United States of America.

Objectives

The main objectives of popularizing the concept of Apni Mandi are:

- (i) better marketing of agricultural produce especially of fruits and vegetables;
- (ii) ensuring direct contact of the producer-farmers and the consumers and thereby enhancing the distributional efficiency of the marketing system;
- (iii) increasing the profitability of agricultural crops for the producers by minimization of marketing costs and the margin of the middlemen;
- (iv) ensuring the availability of fresh fruits and vegetables and other farm produce at reasonable prices to the consumers;
- (v) removing social inhibitions among the farmers for retail sale of their produce;
- (vi) encouraging additional employment to the producers and thereby enhancing their incomes;
- (vii) promoting rational integration by inviting the farmers of other states to sell the produce grown by them directly to the consumers in Apni Mandis of other states; and
- (viii) providing business techniques to the farmers so that in the long-run they may adopt this practice for other crops and enterprises too.

History

The first Apni Mandi was started in Punjab by the Punjab Mandi Board at Chandigarh in February, 1987. Punjab Mandi Board took the initiative with a view to providing small farmers around cities a direct access to consumers. Similarly, in Haryana, the first Apni Mandi was started at Karnal in 1988. In Rajasthan also, this scheme has been introduced in several district towns. The initiative is worth emulating.

Functioning

The market committee of the area where Apni Mandi is located provides space, water, sheds, counters, balances and other facilities to the farmers in Apni Mandis. The Market Committee Staff need to work hard with dedication for the success of Apni Mandis. The State Marketing Boards provide financial assistance to the Market Committees for these services rendered by them to the Apni Mandi. This scheme is being implemented with certain resistance from middlemen. Some farmers also have reservations about the success of the scheme as it assumes adequate skills of retailing on the part of farmers. However, farmers as well as consumers would benefit from the Apni Mandi Scheme and its popularity may pick up after sometime.

(ii) Hadaspar Vegetable Market

Hadaspar vegetable market is a model market for direct marketing of vegetables in Pune city. This sub-market yard is situated nine kms away from Pune city. This belongs to the Pune Municipal Corporation and the fee for using the space in the market is collected by the municipal corporation from the farmers. This is one of the ideal markets in the country for marketing of vegetables. In this market there are no commission agents/middlemen. The market has modern weighing machines for weighing the produce. Buyers purchase vegetables in lots of 100 kgs. or 100 numbers. The produce is weighed in the presence of licensed weighmen of the market committee and sale bill is prepared. The purchasers make payment of the value of produce directly to the farmer. The purchaser is allowed to leave the market place along with the produce after showing the sale bill at the gate of the market. Disputes, if any, arising between buyers and sellers are settled by the supervisor of the market committee after calling the concerned parties. The market committee collects one per cent sale proceeds as market fee for the services and facilities provided by the committee to the farmers and buyers.

(iii) Rythu Bazars

Rythu bazaars have been established in the major cities of Andhra Pradesh state with the prime objective to provide direct link between farmers and consumers in the marketing activity of fruits, vegetables and other essential food items. Both producers and consumers are benefited from Rythu Bazars as producer's share in the consumers rupee is more by 15 to 40 per cent and consumer's get fresh vegetables, fruits and food items at 20 to 35 per cent less prices than the prevailing prices in nearby markets. Further, marketing costs are at the minimum level as middlemen are completely eliminated from the marketing activities in Rythu Bazars. The maintenance expenditure of Rythu Bazars is being met from financial sources of Agricultural Produce Market Committee (APMC) nearer to the Rythu Bazars.

Rythu Bazars started functioning in the Andhra Pradesh State from January 20, 1999. Presently there are 95 Rythu bazaars operating in all the 23 districts of the state. There is no government involvement in price fixation. This function is left to farmers who organize themselves into committees and these committee are fixing sale prices daily after taking into consideration the wholesale and retail prices prevailing in the nearby towns. Generally, in the Rythu Bazar, prices are fixed 20 per cent over the wholesale prices and 15 to 20 per cent less than local market prices. Prices fixed are displayed at several places all over the Rythu Bazar for the benefit of the consumers.

The major highlights of Rythu bazaars are:

- District collectors are making the land available for the Rythu Bazars.
- Permanent infrastructure with all support system are being constructed in the Rythu Bazars by the concerned Agricultural Produce Market Committee.
- The vegetable cultivators in the identified villages are provided the photo identity cards and only these cultivators are permitted to sell vegetables in these bazaars.
- State Government arranges special buses on most routes for transport of vegetables.
- Temporary storage facilities are on anvil.
- Coordination exists between revenue, marketing and horticulture departments for smooth functioning of these markets.
- A distinct and common identity of such markets across the state is being established.
- Other essential commodities like pulses and edible oils are also sold in these markets at reasonable prices.
- Vegetable production programme in the area is also undertaken by the horticulture department of the state to ensure regular supplies of vegetables to the consumers.

Rythu Bazars have generated a great deal of enthusiasm both among farmers and consumers as farmers get better prices for their produce due to curtailment of commission and overhead costs on account of the non-existence of middlemen and the consumers get vegetables at low prices compared to the prices in other markets.

(iv) Uzhavar Sandies

Uzhavar Sandies (Farmers' Market) were established in selected municipal and panchayat areas of the Tamil Nadu by the state government. In these markets, farmers enjoy better marketing infrastructure free of cost and also receive considerably high prices for the products than what they use to receive from middlemen at village or primary markets of towns. Farmers are additionally benefited in the form of interaction with other farmers and with departmental personnel. Farmers also get good quality seeds and other inputs in the market yard itself. The consumers in these markets are benefited by getting fresh vegetables at relatively lower prices.

(v) Shetkari Bazar

On the lines of Rythu Bazars in Andhra Pradesh and Uzhavar Sandies in Tamil Nadu, Government of Orissa has taken a programme of establishing Krushak Bazars in the state of Orissa in the year 2000-01 with the purpose to empower farmer-producer to

compete effectively in the open market to get a remunerative price for his produce and to ensure products at affordable prices to the consumers.

The government provides following incentives for opening of the Krushak Bazars in the state:

- (a) Provides 1 to 2 acres of land at suitable place, free of cost, for establishing the bazaar.
- (b) A cluster/group of villages within the proximity of market area and farmers growing vegetable are identified having the surplus produce for sale.
- (c) The identified farmers are allowed to use marketing facilities so that there is no intervention of middlemen and farmers get better prices for their produce.
- (d) Public utility facilities viz., drinking water, electricity, toilet, canteen and rest house are provided to farmers by the Krushak Bazars.
- (e) Identified farmers are provided inputs like seeds and fertilizer at the reasonable prices in the Krushak Bazars, and
- (f) Storage facilities in the market area are also provided to the farmers in Krushak Bazars.

(vii) Mother Dairy Booths

Mother Dairy, basically handling milk in Delhi, was asked to try its hand in retail vegetable marketing by direct purchasing vegetables from the farmers, moving them in specially built vehicles, storing them in air conditioned godowns and distribute them to the consumers through its retail outlets in 1989 after the notorious onion and potato price crisis. Mother Dairy management has opened retail outlets in almost all important colonies of Delhi for providing vegetables to the consumers at reasonable prices.

Market Integration, Efficiency, Costs, Margins and Price Spread

Market Integration

Meaning

Integration shows the relationship of the firms in a market. The extent of integration influences the conduct of the firms and consequently their marketing efficiency. The behaviour of a highly integrated market is different from that of a disintegrated market. Markets differ in the extent of integration and, therefore, there is a variation in their degree of efficiency.

Kohls and Uhl have defined market integration as a process which refers to the expansion of firms by consolidating additional marketing functions and activities under a single management. Examples of market integration are the establishment of

wholesaling facilities by food retailers and the setting up of another plant by a milk processor. In each case, there is a concentration of decision making in the hands of a single management.

Types of Market Integration

There are three basic kinds of market integration.

(i) Horizontal Integration

This occurs when a firm or agency gains control of other firms or agencies performing similar marketing functions at the same level in the marketing sequence. In this type of integration, some marketing agencies (say, sellers) combine to form a union with a view to reducing their effective number and the extent of actual competition in the market. In most markets, there is a large number of agencies which do not effectively compete with each other. This is indicative of some element of horizontal integration. Horizontal integration is advantageous for the members who join the group. Similarly, if farmers join hands and form co-operatives, they are able to sell their produce in bulk and reduce their cost of marketing. Horizontal integration of selling firms is generally not in the interest of the consumers of buyers.

The schematic arrangement of a horizontally integrated firm is shown in Figure 9.1. In this arrangement, there are four firms engaged in buying and selling of foodgrains under the direction of the parent agri-business firm. All the four business firms perform the same type of marketing function but their locations and areas of operations are different. Cases of such an integration are very commonly found. Frequently a firm will have a central headquarter with a large number of local branches that carry on operations at the local level. Such a network enables the organization to achieve the economies associated with size of the firm. It also helps the firm to organize some complex types of operations and services which are needed by the local units but individually, they may not be able to perform with ease and/or efficiency.

(ii) Vertical Integration

Vertical integration occurs when a firm performs more than one activity in the sequence of the marketing process. It is a linking together of two or more functions in the marketing process within a single firm or under a single ownership. For example, if a firm assumes the functions of the commission agent as well as retailing, it is vertical integration. Another example of vertical integration is a flour mill which engages in retailing activity as well.